

Indian cryptocurrency exchanges has increased from \$200 million to \$40 billion in just one year.

The cryptocurrency market is making headlines in the media through which millions of Indians are getting familiar with this concept. Many Indians today are confused about the regulatory aspects of cryptocurrency. The spread of misinformation is holding them back from making their initial investments.

Cryptocurrencies are not illegal. Any individual can buy, sell and trade with cryptocurrencies. There is no regulatory framework governing the crypto functioning in India. However, the government is actively pursuing this regulatory framework and is looking to implement the same in fast track mode. Crypto exchange apps have started self-regulatory measures by introducing KYC checks for all new investors signing up on their app. These exchanges have been supportive of the government and helping new investors join the bandwagon.

## The rise of Cryptocurrency

When cryptocurrency started to get traction in India in the year 2017, many young, tech-savvy investors were quick to onboard and enjoyed their investments growing at a rate never seen before. Some people exploited the system for fuelling illicit activities in society since cryptocurrency was not included in the umbrella of the financial systems in India. The entire system was at a nurturing stage, and regulatory bodies were yet to notice their adoption.

The government took some decisions at that time which they thought were in the best interest of the country and released the following statement saying:

“The Government does not consider Cryptocurrencies ‘as Legal Tender or Coin’ and will take all measures to eliminate the use of these Crypto Assets in Financing ‘Illegitimate Activities’ or a Part of the Payment System. The Government will explore the use of Blockchain technology proactively for assuring in the Digital Economy.”

A statement and a formal circular issued by the RBI (Reserve bank of India) suggested all entities stop offering any kind of service to other entities associated with the virtual currency. This led to a wave of misinformation and fake news being spread about the banning of cryptocurrencies by the government.

However, the key points and true information were often overlooked that the government was not actually against the world of cryptocurrency but their intention was to prevent the wrongful usage of this technology which could affect the country’s interest. In the statements by the government, it was not